SCHEDULE 12: Grants & User Fees and Service Charges

General Information

Schedule 12 collects information on three types of non-tax revenues: operating grants from Ontario and Canada, revenue from other municipalities and user fees and service charges. Grants for tangible capital assets from Ontario, Canada and other municipalities are to be reported on this schedule. This information is reported under the appropriate functional category.

Other types of non-tax revenue which do not lend themselves to functional categories are reported on Schedule 10, Total Revenues. These include:

Licences, permits, rent, etc.	**(Schedule 10, lines 1410 to 1499)**
Fines and penalties	**(Schedule 10, lines 1605 to 1699)**
Other revenue	**(Schedule 10, lines 1805 to 1899)**

Note that other revenue includes investment income, donations, sale of publications, equipment, etc., contributions from non-consolidated entities, government business enterprises and other.

Description of Lines

Schedule 40 uses the same functional categories as Schedule 12 but uses additional lines to capture greater detail on general government expenses. Schedule 40 also includes a line for expenses related to the Provincial Offences Act under the protection services function.

Note that Schedule 51A uses the same functional categories as Schedule 12 with an additional line for tangible capital assets related to the Provincial Offences Act.

Line 1035 Ambulance dispatch is provided to ensure uniformity with Schedules 40 and 51A.

Please report all revenues pertaining to Ambulance dispatch on Schedule 10 under other revenue.

Description of Columns:

Column 1 Ontario conditional grants

All conditional operating grants received or receivable from the Province, including those from Ontario enterprises, are reported here.

Please note that unconditional operating grants are reported on Schedule 10, Total Revenues, because they are not related to a specific municipal function or service.

In this column, include operating grants from the Ontario Lottery Corporation.

Include grants for fully or proportionally consolidated local boards.

In this column, include the Provincial Gas Tax revenue if used for transit operations.

Include costs recovered from the Province. Example: costs recovered from the Province in respect of a hearing.

For other municipalities that provide ambulance dispatch on behalf of the Province, please report all revenues pertaining to ambulance dispatch on line 1035 column 1. This only applies to the following municipalities: City of Toronto, Region of Niagara, City of Ottawa and City of Timmins. Line 1035 will be greyed out for all other municipalities.

If Ontario conditional operating grants have been overpaid as of December 31st, the amount reported should not include the amount of the overpayment. The overpaid portion should be recorded as a liability and included in the amount reported in Schedule 70, Consolidated Financial Position, line 2220 (Accounts Payable and accrued liabilities - Ontario).

An example is overpayment for general welfare assistance.

The total for Ontario unconditional grants is automatically carried forward to Schedule 10 (SLC 10 0810 01).

Provincial grants for tangible capital assets are reported on column 5.

Column 2 Canada conditional grants

Enter conditional operating grants received or receivable from the federal government or its agencies.

Include grants for fully or proportionally consolidated local boards.

If Canada conditional operating grants have been overpaid as of December 31st, the amount reported should not include the overpaid portion. The overpaid portion should be recorded as a liability and included in the amount reported in Schedule 70, Consolidated Financial Position, line 2210, (Accounts payable and accrued liabilities - Canada).

The total for Canada conditional grants is automatically carried forward to Schedule 10 (SLC 10 0820 01).

Federal grants for tangible capital assets are reported on column 6.

Column 3 Other Municipalities

Include revenue received or receivable from other municipalities, including amounts recovered from the upper tier.

Include amounts recovered from neighbouring municipalities for services provided. Include amounts pertaining to agreements for joint services and fees for professional services provided.

Examples include revenue received from other municipalities for firefighting services or for work done on the roads of another municipality. Include fees received from other municipalities.

Include the sale of water to another municipality.

Include contributions to recreation centres.

Include county contributions towards roads under section 41 (5) of the Public Transportation and Highway Improvement Act.

Revenue received from a Band Council for fire protection services is to be reported as revenue from other municipalities in Schedule 12, column 3, rather than revenue from user fees in Schedule 12, column 4.

The total for revenue from other municipalities is automatically carried forward to Schedule 10 (SLC 10 1099 01).

Provincial Offences Act (POA) Revenue

Municipalities who administer the Provincial Offences Act, please report POA revenue in SLC 10 1605 01 in the section for Fines and Penalties.

POA expenses are reported in Schedule 40, line 0450, in the appropriate column.

Municipalities which do not administer the Provincial Offences Act but receive a share of POA revenues from other municipalities, report the revenue in column 3 in SLC 12 0460 03.

Library Boards

When a library board this is fully or partially consolidated bills the library board of another municipality, the revenue received is reported in column 3 as revenue from other municipalities.

Column 4 User Fees and Service Charges

In column 4, report user fees. User fees are fees and service charges imposed by the municipality which are directly associated with a particular municipal function.

<u>Examples include, but are not limited to the following:</u>

- Day nursery charges
- Committee of Adjustment fees
- Contributions from residents in Homes for the Aged
  - Incidental services to individuals or tax-exempt properties, such as surfacing or snow plowing, driveways
  - Garbage collection fees
  - Parking revenues
  - Permit parking
  - Photocopies of municipal documents
  - Planning Act fees
  - Recreation programs
  - Road closures for special events
  - Tile drainage and shoreline property assistance collections

Transit fares
Transit revenues from contract services and charters
Waste management
Water: direct water billings on ratepayers and sewer surcharges billed to ratepayers

Include fees and service charges received from fully and proportionally consolidated local boards and municipal enterprises.

Include user charges paid by First Nations with the exception that revenue for fire protection services should be reported in column 3 as revenue from other municipalities.
Report revenue received from the federal government for the provision of policing services to an airport as user fees and service charges.

Report revenue from the rental of recreational facilities, such as arenas, baseball diamonds and soccer fields on line 1634 (recreational facilities – all other); do not report amounts under rents, concessions and franchises in Schedule 10.

Report revenue for fire protection services provided to an armed services base as user fees and service charges.

Note that revenue pertaining to trailers and revenue from licenses and permits, rents, concessions and franchises, fines, penalties and interest on taxes, donations, sale of publications, equipment, etc., and contributions from non-consolidated entities are reported on Schedule 10.

Please read the section on "Netting of Revenues and Expenses" in the Introduction.

The total for user fees and service charges is automatically carried forward to Schedule 10 in SLC 10 1299 01.

Direct water billings and sewer surcharges

Direct water billings on ratepayers include all charges for water which are not on the tax bill.

These may be flat rate and metered charges, metered service charges, minimum charges, connection and frontage charges, meter reading charges, meter rental and meter service charges. Direct water billings include special charges for double size of pipe, private fire hydrants and sprinklers, irrigation, bulk usage, water cooling, etc.

Direct water billings and wastewater surcharges are considered user fees and service charges and are reported in Schedule 12 under the environmental services function in column 4 (User fees and services charges) or in column 3 (Other municipalities).
Direct water billings and wastewater surcharges raised within municipality or from other municipalities.

For reporting purposes, a distinction is made between direct water billings and sewer surcharges raised within the municipality and raised from other municipalities:

Revenues from direct water billings and wastewater surcharges on direct water billings raised within the municipality should be reported in Schedule 12 in column 4 (User fees and service charges). Revenue from direct water billings is reported on either line 0831 or 0832 and

revenue from wastewater surcharges on direct water billings is reported on line 0811 or 0812.

Revenues from direct water billings and sewer surcharges on direct water billings raised from other municipalities should be reported in **Schedule 12 in column 3 (Other municipalities)**. Revenue from direct water billings is reported on line 0831 or 0832 and revenue from sewer surcharges on direct water billings is reported on line 0811 or 0812.

Responsibility for water services and wastewater services split between lower-tier and upper-tier

In a two-tier system, responsibility for water treatment and distribution may be split between the upper-tier and lower-tiers. Similarly, responsibility for wastewater collection and treatment may be split between the upper-tier and lower-tiers.

Where the lower-tier imposes a direct bill for water services and wastewater surcharges which includes the cost of both upper-tier and lower-tier services, please report as follows:

The lower-tier reports the lower-tier portion of water billings and wastewater surcharges in column 4 (User fees and service charges) in its FIR. Water billings are reported on line 0831 or 0832 and wastewater surcharges are reported on line 0811 or 0812.

The upper-tier reports only the upper-tier portion of water billings and wastewater surcharges in column 4 in its FIR. Water billings are reported on line 0831 or 0832 and wastewater surcharges are reported on line 0811 or 0812.

Column 5 Ontario Grants – Tangible Capital Assets

Report all Ontario grants for tangible capital assets on this column under the appropriate functional category.

Report the Provincial Gas Tax grants received and applied for capital improvements for transit.

If the Provincial Gas tax was not utilized during the year, then these funds should be directly reported on Schedule 60 Column 1 under the provincial gas tax line.

Report all deferred revenue earned, such as Ontario bus replacement grant, etc., except for deferred revenue earned (Provincial Gas Tax) for Transit (Capital).

Deferred revenue earned (Provincial Gas Tax) for Transit (Capital) should be entered in Schedule 60-line 1045 column 1. Schedule 10-line 0830 column 1 automatically draws the amounts entered in schedule 60-line 1042 column 1 + schedule 60-line 1045 column 1.

The total in column 5 in SLC 12 9910 05 is carried forward to SLC 10 0815 01.

Column 6 Canada Grants – Tangible Capital Assets

Report all Federal grants for tangible capital assets on this column under the appropriate functional category.

Report the Federal Gas Tax grant received and applied to the applicable program.

Please complete Schedule 10 – section for the Canada Gas Tax funding allocation to the various functional areas.

If the Federal Gas Tax was not utilized during the year, then these funds should be directly reported on Schedule 60 Column 1 under the Federal gas tax line.

Report all deferred revenue earned, such as Federal public transit, Canada Building Fund, etc., except for deferred revenue earned (Canada Gas Tax).

Deferred revenue earned Canada Gas Tax should be entered in schedule 60-line 1047 column 1. Schedule 10-line 0831 column 1 automatically draws the amount entered in Schedule 60-line 1047 column 1.

The total in column 6 in SLC 12 9910 06 is carried forward to SLC 10 825 01.

Column 7 Other Municipalities – Tangible Capital Assets

Include amounts received from other municipalities for their share of capital projects. For example, include amounts received from other municipalities for joint wastewater and water projects.

The total in column 7 in SLC 12 9910 07 is carried forward to SLC 10 1098 01.